

Best's Credit Rating Effective Date

June 25, 2026

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Information

[Best's Credit Rating Methodology](#)

[Guide to Best's Credit Ratings](#)

[Market Segment Outlooks](#)

Financial Data Presented

Financial data in this report: (i) includes data of affiliated entities that are not rating unit members where analytics benefit from inclusion; and/or (ii) excludes data of rating unit member entities if they operate in different segments or geographic areas than the Rating Unit generally. See [list of companies](#) for details of rating unit members and any such included and/or excluded entities.

The financial data in this report reflects the most current data available to the Analytical Team at the time of the rating. Updates to the financial exhibits in this report are available here: [Best's Financial Report](#).

USAA Life Group

AMB #: 070364

Associated Ultimate Parent: AMB # 000934 - United Services Automobile Association

Best's Credit Ratings - for the Rating Unit Members

Financial Strength Rating (FSR)

A++
Superior
Outlook: Stable
Action: Affirmed

Issuer Credit Rating (ICR)

aaa
Exceptional
Outlook: Stable
Action: Affirmed

Assessment Descriptors

Balance Sheet Strength	Very Strong
Operating Performance	Strong
Business Profile	Favorable
Enterprise Risk Management	Appropriate

Rating Unit - Members

Rating Unit: USAA Life Group | **AMB #:** 070364

AMB # **Rating Unit Members**
007146 USAA Life Ins Co

AMB # **Rating Unit Members**
060247 USAA Life Ins Co of NY

Rating Rationale

Balance Sheet Strength: **Very Strong**

- Strongest level of risk-adjusted capitalization as measured by Best's Capital Adequacy Ratio (BCAR) scores at the VaR 99.6% level.
- Favorable financial flexibility with established access to capital and liquidity through its affiliated financing company and the Federal Home Loan Bank.
- The investment portfolio is viewed as high credit quality with modest allocations to higher-risk asset classes.

Operating Performance: **Strong**

- Favorable long-term trends in total premium growth, although growth by line of business has varied.
- History of strong operating results on a statutory and US GAAP basis.
- Strong affinity group relationships have driven historically strong policy persistency.

Business Profile: **Favorable**

- Maintains a dominant share of the U.S. military market segment driven by an extremely strong affinity group relationship.
- Favorable diversification of premiums between its core life and annuity products, although the reserve profile is weighted toward interest-sensitive product lines.
- The addition of Fidelity and Schwab as distribution partners expands the group's direct-to-consumer marketing potential.

Enterprise Risk Management: **Appropriate**

- USAA has a well-developed enterprise risk management framework that consolidates USAA's property/casualty, life/health and non-insurance operations.
- Enterprise stress testing is routinely conducted utilizing scenarios related to its core risk factors to determine required levels of capital and liquidity to support atypical market conditions.
- Risk management capabilities are viewed as appropriate to support the organization's product, investment and operational risks.

Rating Lift/Drag

- USAA Life Group receives rating enhancement from its parent organization due to its strategic importance to the organization's overall business strategy.
- The group benefits from the strong brand awareness and distribution model established by the parent to support growth and persistency.
- The group benefits from ongoing capital support with \$300 million contributed from the parent company in 2025.

Outlook

- The stable outlooks reflect the expectation that the group will maintain its strategic importance to its parent organization. Additionally, AM Best expects the group will maintain a balance sheet assessment in the very strong range over the medium term, supported by favorable operating results and capital growth.

Rating Drivers

- The ratings could be negatively impacted if there were a decline in AM Best's view of the strategic importance of USAA Life Group to the ultimate parent, United Services Automobile Association (USAA), or if there were a downgrade in AM Best's credit assessment of the ultimate parent.
- The ratings could be negatively impacted if AM Best's view of the financial strength of the overall organization were to change.
- The ratings could be negatively impacted if there were a sustained decline in operating performance.

Key Financial Indicators

Best's Capital Adequacy Ratio (BCAR) Scores (%)

Confidence Level	95.0	99.0	99.5	99.6
BCAR Score	60.7	42.8	35.2	33.0

Source: Best's Capital Adequacy Ratio Model - L/H, US

Year End - December 31

Key Financial Indicators USD (000)

	2025	2024	2023	2022	2021
Assets:					
General Account	34,778,127	32,485,873	30,442,772	28,416,546	26,770,854
Separate Accounts	4,914	5,081	6,481	5,469	7,477
Total	34,783,041	32,490,954	30,449,253	28,422,015	26,778,331
Liabilities:					
Net Life Reserves	24,406,237	22,619,361	20,457,742	18,648,269	17,890,288
Net Accident & Health Reserves	66,551	63,950	65,972	66,164	73,042
Liability for Deposit Contracts	3,234,423	3,107,172	2,821,011	2,459,159	2,125,120
Asset Valuation Reserve	291,581	286,561	280,344	268,333	243,246
Other General Account	3,385,619	3,505,483	3,910,655	4,330,706	3,855,979
Total	31,389,324	29,587,607	27,542,204	25,778,101	24,195,151
Total Capital and Surplus	3,393,717	2,903,347	2,907,049	2,643,914	2,583,180
Net Income	246,375	70,949	223,338	50,605	-22,043
Net Premiums Earned	4,098,701	4,266,055	3,299,509	2,147,755	-3,930,198
Net Investment Income	1,469,008	1,362,284	1,215,099	1,136,812	1,142,150

Source: BestLink® - Best's Financial Suite

Year End - December 31

Key Financial Ratios (%)

	2025	2024	2023	2022	2021	Weighted Average
Operating Return on Revenue	4.5	1.4	4.7	2.0	0.2	3.6
Operating Return on Capital and Surplus	8.7	2.8	8.4	2.9	-0.2	4.7
Net Investment Yield	4.4	4.4	4.2	4.2	4.2	4.3
Pre-Tax Investment Total Return	4.2	4.2	3.9	4.2	6.6	4.6

Source: BestLink® - Best's Financial Suite

Year End - December 31

Leverage (%)

	2025	2024	2023	2022	2021
General Account Liabilities to Capital and Surplus	9.2	10.2	9.5	9.7	9.4
Higher Risk Assets to Capital and Surplus:					
Mortgages Not in Good Standing	0.4	...	...	...	...
All Other Higher Risk Assets	30.6	29.7	30.6	38.0	40.0

Source: BestLink® - Best's Financial Suite

Year End - December 31

Liquidity Analysis

	2025	2024	2023	2022	2021
Current Liquidity (%)	106.2	106.8	107.4	108.1	109.7
Net Operating Cash Flow USD (000)	2,131,029	2,222,654	1,866,924	905,617	-5,208,078

Source: BestLink® - Best's Financial Suite

Credit Analysis

Balance Sheet Strength

Additional credit report commentary for this section is pending and will be released in the near term.

Capitalization

	Year End - December 31				
Capital Generation Analysis USD (000)	2025	2024	2023	2022	2021
Beginning Capital and Surplus	2,903,347	2,907,049	2,643,914	2,583,180	2,447,967
Net Operating Gain	272,458	82,663	232,212	74,903	-5,039
Net Realized Capital Gains (Losses)	-26,084	-11,713	-8,874	-24,298	-17,005
Net Unrealized Capital Gains (Losses)	-33,807	-20,037	-32,466	36,843	19,796
Net Change in Paid-In Capital and Surplus	300,000	...	75,000	...	...
Stockholder Dividends	...	...	...	-18,000	-14,000
Other Changes in Capital and Surplus	-22,198	-54,614	-2,737	-8,715	151,460
Net Change in Capital and Surplus	490,370	-3,702	263,135	60,734	135,213
Ending Capital and Surplus	3,393,717	2,903,347	2,907,049	2,643,914	2,583,180
Net Change in Capital and Surplus (%)	16.9	-0.1	10.0	2.4	5.5
Net Change in Capital and Surplus (5 yr CAGR)	6.8	...	...	...	...

Source: BestLink® - Best's Financial Suite

Asset Liability Management - Investments

	Year End - December 31				
Composition of Cash and Invested Assets	2025	2024	2023	2022	2021
Total Cash and Invested Assets USD (000)	34,030,316	31,805,289	29,815,579	27,856,385	26,242,505
Composition Percentages (%)					
Unaffiliated:					
Cash and Short Term Investments	3.1	2.2	1.8	1.3	1.7
Bonds	85.3	86.8	85.9	85.8	86.3
Stocks	0.6	0.2	0.2	0.2	0.4
Mortgage Loans	8.0	8.2	9.2	9.7	8.9
Other Invested Assets	3.1	2.7	3.0	2.9	2.7
Total Unaffiliated	100.0	100.0	100.0	100.0	100.0
Total	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

	Year End - December 31				
Composition of Bond Quality (%)	2025	2024	2023	2022	2021
Investment Grades					
Class 1 (Highest Quality)	57.7	57.4	56.9	51.5	50.1
Class 2 (High Quality)	40.9	41.5	41.8	46.4	47.0
Total Investment Grade	98.6	98.9	98.7	98.0	97.1
Non-Investment Grades					
Class 3 (Medium Quality)	1.0	0.9	1.0	1.3	2.6
Class 4 (Low Quality)	0.2	0.2	0.1	0.3	0.2
Class 5 (Lower Quality)	0.2	0.1	0.1	0.5	...
Total Non-Investment Grade	1.4	1.1	1.3	2.0	2.9
Below Investment Grade - % of Capital & Surplus	10.9	9.8	10.1	16.7	23.2

Source: BestLink® - Best's Financial Suite

Balance Sheet Strength (Continued...)

Bonds and Short Term Investments	Years					Average (Years)
	0-1	1-5	5-10	10-20	20+	
Distribution by Maturity (%)						
Total Publicly Traded Bonds	1.8	8.6	7.8	10.1	35.6	17.6
Total Privately Placed Bonds	3.1	14.6	8.0	4.1	6.3	9.0
Total Bonds	4.9	23.2	15.8	14.3	41.9	14.5

Source: BestLink® - Best's Financial Suite

Bonds by Issuer (%)	Year End - December 31
	2025
U.S. Govt & Municipalities - Issuer Credit Obligations	6.8
Foreign Govt & Municipalities - Issuer Credit Obligations	0.9
All other Issuer Credit Obligations - U.S. - Unaffiliated	58.9
All other Issuer Credit Obligations - Foreign - Unaffiliated	13.8
Asset-Backed Securities - U.S. - Unaffiliated	17.6
Asset-Backed Securities - Foreign - Unaffiliated	2.0

Source: BestLink® - Best's Financial Suite

Operating Performance

Additional credit report commentary for this section is pending and will be released in the near term.

Net Operating Gain By LOB USD (000)	Year End - December 31				
	2025	2024	2023	2022	2021
Individual Life	198,572	23,488	196,514	83,153	-18,179
Group Life	-198	-495	-253	29	193
Individual Annuities	74,493	61,547	30,649	-18,664	-298
Accident & Health	-409	-1,879	5,303	10,385	13,245
Total	272,458	82,663	232,212	74,903	-5,039

Source: BestLink® - Best's Financial Suite

Accident & Health Statistics	Year End - December 31				
	2025	2024	2023	2022	2021
Net Premiums Written USD (000)	495,876	456,673	432,444	418,548	409,863
Net Premiums Earned USD (000)	495,534	456,524	432,408	418,700	409,928
Claims and Cost Containment Ratio (%)	83.4	83.5	82.1	77.4	75.6
Expense Ratio (%)	16.8	17.2	16.4	18.6	13.6
Combined Ratio (%)	100.2	100.7	98.5	95.9	89.3
Underwriting Results USD (000)	-1,170	-3,070	6,575	17,127	43,937

Source: BestLink® - Best's Financial Suite

Business Profile

Additional credit report commentary for this section is pending and will be released in the near term.

Business Profile (Continued...)

2025 By Line Business	Direct Premiums Written		Reinsurance Premiums Assumed		Reinsurance Premiums Ceded		Net Premiums Written		Business Retention
	USD (000)	%	USD (000)	%	USD (000)	%	USD (000)	%	%
Individual Life	1,177,145	10.0	...	...	297,577	3.9	879,567	21.5	74.7
Individual Annuities	10,069,454	85.8	...	...	7,345,760	96.1	2,723,694	66.5	27.0
Accident & Health	495,714	4.2	...	...	274	...	495,440	12.1	99.9
Total	11,742,313	100.0	...	...	7,643,611	100.0	4,098,701	100.0	34.9

Source: BestLink® - Best's Financial Suite

Year End - December 31

Geographic Breakdown by Direct Premiums Written and Deposit-Type Contracts USD (000)

	2025	2024	2023	2022	2021
California	1,331,105	819,540	814,414	799,629	486,631
Texas	1,280,658	909,844	741,233	770,950	540,661
Florida	943,556	557,717	482,832	547,467	386,890
Delaware	864,812	1,245,843	1,024,766	861,129	350,049
Massachusetts	487,583	291,601	254,884	287,137	156,101
Top 5 States	4,907,713	3,824,545	3,318,129	3,266,312	1,920,331
All Other	7,032,842	4,708,492	4,205,320	4,235,898	2,659,650
Total	11,940,556	8,533,037	7,523,449	7,502,211	4,579,982
Geographic Concentration Index	0.05	...	...	...	...

Source: BestLink® - Best's Financial Suite

Enterprise Risk Management

Additional credit report commentary for this section is pending and will be released in the near term.

Financial Statements

Year End - December 31

	2025		2024	
Balance Sheet	USD (000)	%	USD (000)	%
Cash and Short Term Investments	1,050,197	3.0	700,324	2.2
Bonds	29,017,711	83.4	27,592,489	84.9
Preferred and Common Stock	197,957	0.6	61,843	0.2
Other Invested Assets	3,764,452	10.8	3,450,633	10.6
Total Cash and Invested Assets	34,030,316	97.8	31,805,289	97.9
Premium Balances	26,932	0.1	39,038	0.1
Net Deferred Tax Asset	149,457	0.4	141,598	0.4
Other Assets	571,423	1.6	499,947	1.5
Total General Account Assets	34,778,127	100.0	32,485,873	100.0
Separate Account Assets	4,914	...	5,081	...
Total Assets	34,783,041	100.0	32,490,954	100.0
Net Life Reserves	24,406,237	70.2	22,619,361	69.6
Net Accident & Health Reserves	66,551	0.2	63,950	0.2
Liability for Deposit Contracts	3,234,423	9.3	3,107,172	9.6
Asset Valuation Reserve	291,581	0.8	286,561	0.9
Other Liabilities	3,385,619	9.7	3,505,483	10.8
Total General Account Liabilities	31,384,410	90.2	29,582,526	91.0
Separate Account Liabilities	4,914	...	5,081	...
Total Liabilities	31,389,324	90.2	29,587,607	91.1
Capital Stock	2,500	...	2,500	...
Paid-In and Contributed Surplus	519,008	1.5	219,008	0.7
Unassigned Surplus	2,833,557	8.1	2,623,861	8.1
Other Surplus	38,652	0.1	57,978	0.2
Total Capital and Surplus	3,393,717	9.8	2,903,347	8.9
Total Liabilities, Capital and Surplus	34,783,041	100.0	32,490,954	100.0

Source: BestLink® - Best's Financial Suite

Income Statement USD (000)	Year End - December 31	
	2025	2024
Net Premiums Earned:		
Individual Life	879,567	848,155
Individual Annuities	2,723,694	2,961,509
Accident & Health	495,440	456,391
Total Net Premiums Earned	4,098,701	4,266,055
Net Investment Income	1,469,008	1,362,284
Other Income	466,567	401,624
Total Revenue	6,034,276	6,029,963
Policy Benefits	4,633,617	4,979,539
Commissions and Expense Allowances	241,816	175,164
Insurance and Other Expense	760,324	720,084
Net Transfers to (from) Separate Accounts	-552	-2,196
Dividends to Policyholders	39,640	40,101
Pre-Tax Net Operating Gain	359,431	117,270
Income Taxes Incurred	86,973	34,608
Net Operating Gain	272,458	82,663
Net Realized Capital Gains	-26,084	-11,713
Net Income	246,375	70,949

Source: BestLink® - Best's Financial Suite

Statement of Operating Cash Flows USD (000)	Year End - December 31	
	2025	2024
Net Premiums Collected	4,194,882	4,370,802
Net Investment Income	1,458,587	1,329,988
Other Income Received	340,746	253,851
Total Collected Operating Revenue	5,994,215	5,954,642
Net Benefits and Loss Related Payments	2,744,018	2,703,965
Commissions and Other Expenses Paid	975,196	871,844
Net Transfers to (from) Separate Accounts	-552	-2,196
Dividends to Policyholders	40,186	40,517
Income Taxes Paid (Recovered)	104,338	117,858
Total Paid Expenses and Transfers	3,863,186	3,731,988
Net Operating Cash Flow	2,131,029	2,222,654

Source: BestLink® - Best's Financial Suite

Related Methodology and Criteria

[AM Best's Stress Liquidity Ratio for US Life Insurers, 05/09/2024](#)

[Best's Credit Rating Methodology, 08/29/2024](#)

[Available Capital and Insurance Holding Company Analysis, 09/18/2025](#)

[Scoring and Assessing Innovation, 02/20/2025](#)

[Understanding BCAR for US and Canadian Life/Health Insurers, 10/09/2025](#)



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